Defense

"Minimum" 2nd-place track record certified in Switzerland

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Company	Rating	TP (won)
Hanwha Aerospace	BUY (M)	1,480,000 (M)
LIG Defense&Aerospace	BUY (M)	1,050,000 (M)
Hanwha Systems	BUY (M)	136,000 (M)

Swiss next-gen long-range air-defense tender narrowed to 2 contenders

Switzerland's program to procure a next-generation, long-range ground-based air-defense system has been narrowed to two final contenders: Korea's L-SAM and the SAMP/T NG developed by Eurosam, a French–Italian joint venture. Urs Loher, head of Switzerland's Federal Office for Defense Procurement, said that an additional CHF1.7–4.3bn (approximately W3tn-7tn) would be required on top of the CHF2.3bn budget allocated in 2022 for the procurement of five Patriot batteries. The Swiss Federal Council is scheduled to receive its analysis of the candidate systems from the Federal Office for Defence Procurement by Sep 18, after which it will determine the next steps and select the final system.

1) Delivery before 2030 and 2) similar localization capabilities, but weaker strategic rationale

The two contenders appear similarly competitive in terms of the key evaluation criteria of: 1) delivery schedule; and 2) localization. However, L-SAM is at a disadvantage in terms of geographical and political rationale. Accordingly, the selection of L-SAM as the final system would represent an outcome exceeding market expectations. Both systems appear capable of meeting delivery requirements within three years. For L-SAM, Korea signed the domestic mass-production contract in Nov 2025, with deployment scheduled for 2027–2028. For SAMP/T NG, Denmark signed its contract in Sep 2025, with delivery scheduled for 2028, at a price of EUR375mn per unit.

L-SAM's edge: 1) interception altitude; and 2) dual-missile architecture

Switzerland decided to procure five batteries each of the PAC-3 and IRIS-T SLM (deliveries starting in end-2028), both capable of engaging targets at altitudes of around 20km. While the SAMP/T NG's intercept altitude of 25km is similar to previously introduced systems, L-SAM's 40-60km intercept altitude makes it suitable for the project's objective of achieving a "multi-layered" air defense network. In addition, L-SAM features a two-tier missile architecture of anti-aircraft missiles (AAM, estimated at W1.5-2bn) and anti-ballistic missiles (ABM, W3.5-4.5bn). SAMP/T NG can cover complex threats via a single Aster 30 missile family (W4.5-5.5bn). Operating a combined mix of relatively cost-effective AAM could serve as an advantage in terms of cost-efficiency.

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Regardless of the final outcome, it is encouraging that the system has secured at least a top-two ranking in Europe within an evaluation process for air defense systems that are considered top-tier precision-guided munitions and strategic assets. This suggests that Korean systems possess the competitiveness to satisfy stringent European standards, including NATO operational interoperability, localization, and quality. This will likely drive a qualitative upgrade in Europe-bound product mix concentrated in artillery and armored vehicles, and accelerate expansion into other regions that are planning to adopt Cheongung-II and L-SAM. Korean defense is actively penetrating the security vacuum triggered by supply chain shortages of US Patriot missiles. We advise focusing on Hanwha Aerospace, LIG Defense & Aerospace (LIG D&A), and Hanwha Systems. LIG D&A (with Rheinmetall) and Hanwha Systems (with Diehl Defense) are pursuing air defense cooperation with local European firms. For reference, Korea's L-SAM mass production program is valued at around W1.2tn, with Hanwha Aerospace accounting for 57.5%, Hanwha Systems 29.1%, and LIG D&A 13.4%

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

L-SAM vs SAMP/T NG

	Korea's L-SAM (system: Hanwha/LIG)	Europe's SAMP/T NG (Eurosam)
Interception	40–60km; upper-tier terminal-phase	20–25km; lower-tier terminal-phase interception
System configuration	Separate anti-ballistic missile (ABM) and anti-aircraft missile (AAM) interceptors	Single Aster 30 Block 1 NT missile family
Terminal guidance	Hit-to-kill via direct impact	Combination of directional fragmentation blast and direct impact
Delivery schedule	Initial delivery proposed within three years of contract signing	Initial delivery proposed within three years of contract signing
Positioning	Korean equivalent of THAAD for wide-area defense	European equivalent of Patriot for lower-tier defense

Source: media reports, Yuanta Securities

L-SAM



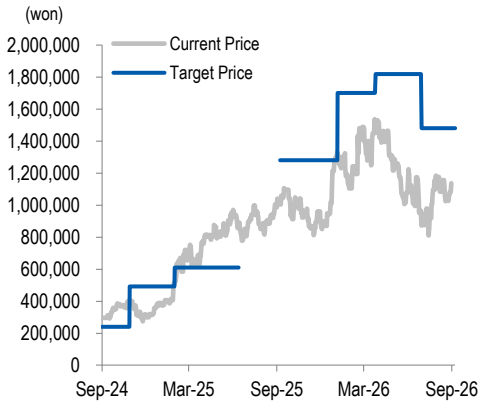
Source: media reports, Yuanta Securities

SAMP/T NG



Source: Eurosam, Yuanta Securities

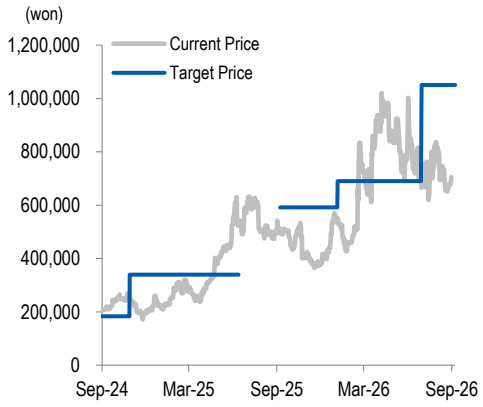
Hanwha Aerospace (012450 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/15	BUY	1,480,000	1 yr		
2026/07/14	BUY	1,480,000	1 yr		
2026/04/09	BUY	1,820,000	1 yr	-32.75	-15.93
2026/01/20	BUY	1,700,000	1 yr	-22.56	-9.59
2025/09/22	BUY	1,280,000	1 yr	-23.31	3.91
	Analyst changed				
2025/02/14	BUY	610,517	1 yr	26.16	58.88
2024/11/12	BUY	492,353	1 yr	-26.89	4.00
2024/03/06	BUY	239,385	1 yr	12.49	71.12

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

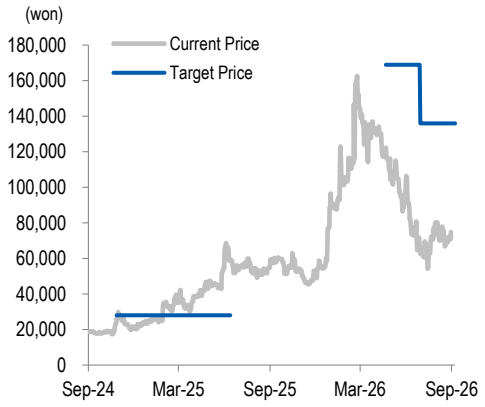
LIG Defense&Aerospace (079550 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/15	BUY	1,050,000	1 yr		
2026/07/14	BUY	1,050,000	1 yr		
2026/01/20	BUY	690,000	1 yr	7.75	47.83
2025/09/22	BUY	592,000	1 yr	-24.25	-3.72
	Analyst changed				
2024/11/12	BUY	340,000	1 yr	-11.50	85.29
2024/03/06	BUY	184,000	1 yr	7.01	46.20

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Hanwha Systems (272210 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/15	BUY	136,000	1 yr		
2026/07/14	BUY	136,000	1 yr		
2026/05/06	BUY	169,000	1 yr	-44.80	-30.95
	Analyst changed				
2024/11/11	BUY	28,000	1 yr	23.85	145.00
2024/03/06	BUY	20,000	1 yr	-7.43	16.00

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

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- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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